

Parliament assembled, and by the authority of the same, as follows:—

Grant for
purposes of
Telegraph
Acts.

1.—(1) The Treasury may, with a view to the development of the telephonic system in the United Kingdom, without prejudice to the exercise of any powers previously given for the like purpose, issue out of the Consolidated Fund, or the growing produce thereof, such sums not exceeding in the whole the sum of five million pounds as may be required by the Postmaster-General for the purpose of developing the telephonic system according to estimates approved by the Treasury.

(2) The Treasury may, if they think fit, for the purpose of providing money for sums so authorised to be issued out of the Consolidated Fund, or for repaying to that fund all or any part of the sums so issued, borrow by means of terminable annuities for a term not exceeding twenty years, and all sums so borrowed shall be paid into the Exchequer.

(3) The said annuities shall be paid out of moneys provided by Parliament for the service of the Post Office, and if those moneys are insufficient shall be charged on and paid out of the Consolidated Fund of the United Kingdom, or the growing produce thereof.

4 Edw. 7.
c. 21.

(4) The Treasury may also, if they think fit, for the same purpose borrow money by means of the issue of Exchequer bonds, and the Capital Expenditure (Money) Act, 1904, shall have effect as if this Act had been in force at the time of the passing of that Act.

1 & 2 Geo. 5.
c. 26.

(5) Section five of the Telephone Transfer Act, 1911 (which relates to audit), shall have effect as if this Act were included amongst the Acts therein mentioned.

Short title.

2. This Act may be cited as the Telegraph (Money) Act, 1921, and may be cited with the Telegraph Acts, 1863 to 1920.

CHAPTER 58.

An Act to consolidate and amend the Law relating to Trusts in Scotland.

[19th August 1921.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords

Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1. This Act may be cited as the Trusts (Scotland) Act, 1921. Citation.

2. In the construction of this Act unless the context otherwise requires— Definitions.

“Trust” shall mean and include—

- (a) any trust constituted by any deed or other writing, or by private or local Act of Parliament, or by Royal Charter, or by resolution of any corporation or public or ecclesiastical body, and
- (b) the appointment of any tutor, curator, or judicial factor by deed, decree, or otherwise ;

“Trust deed” shall mean and include—

- (a) any deed or other writing, private or local Act of Parliament, Royal Charter, or resolution of any corporation or ecclesiastical body, constituting any trust, and
- (b) any decree, deed, or other writing appointing a tutor, curator, or judicial factor ;

“Trustee” shall mean and include any trustee under any trust whether nominated, appointed, judicially or otherwise, or assumed, whether sole or joint, and whether entitled or not to receive any benefit under the trust or any remuneration as trustee for his services, and shall include any trustee ex officio, executor nominate, tutor, curator, and judicial factor ;

“Judicial factor” shall mean any person judicially appointed factor upon a trust estate or upon the estate of a person incapable of managing his own affairs, factor loco tutoris, factor loco absentis, and curator bonis ;

“Local authority” and “rate” shall have respectively the meanings assigned to these expressions by the Local Authorities Loans (Scotland) Act, 1891 ; 54 & 55 Vict.
c. 34.

“The court” shall mean the Court of Session ;

“East India Stock” shall mean India $3\frac{1}{2}$ per cent. stock, India 3 per cent. stock, India $2\frac{1}{2}$ per cent.

stock, or any other capital stock which may, at any time hereafter, be issued by the Secretary of State in Council of India under the authority of Act of Parliament and charged on the revenues of India.

What trusts
shall be held
to include.

3. All trusts shall be held to include the following powers and provisions unless the contrary be expressed (that is to say):—

- (a) Power to any trustee to resign the office of trustee ;
- (b) Power to the trustee, if there be only one, or to the trustees, if there be more than one, or to a quorum of the trustees, if there be more than two, to assume new trustees ;
- (c) A provision that a majority of the trustees accepting and surviving shall be a quorum ;
- (d) A provision that each trustee shall be liable only for his own acts and intromissions and shall not be liable for the acts and intromissions of co-trustees and shall not be liable for omissions :

Provided that—

- (1) A sole trustee shall not be entitled to resign his office by virtue of this Act unless either
 - (1) he has assumed new trustees and they have declared their acceptance of office, or
 - (2) the court shall have appointed new trustees or a judicial factor as hereinafter in this Act provided ; and
- (2) A trustee who has accepted any legacy or bequest or annuity expressly given on condition of the recipient thereof accepting the office of trustee under the trust shall not be entitled to resign the office of trustee by virtue of this Act, unless otherwise expressly declared in the trust deed, nor shall any trustee appointed to the office of trustee on the footing of receiving remuneration for his services be entitled so to resign that office in the absence of an express power to resign ; but it shall be competent to the court, on the petition of any trustee to whom the foregoing provisions of this proviso apply, to grant authority to such trustee to resign the office of trustee on such

conditions (if any) with respect to repayment or otherwise of his legacy as the court may think just; and

- (3) A judicial factor shall not, by virtue of this Act, have the power of assumption, nor shall he have the power by virtue of this Act to resign his office without judicial authority.

Nothing in this section shall affect any liability incurred by any trustee prior to the date of any resignation or assumption under the provisions of this Act or of any Act repealed by this Act.

4.—(1) In all trusts the trustees shall have power to do the following acts, where such acts are not at variance with the terms or purposes of the trust, and such acts when done shall be as effectual as if such powers had been contained in the trust deed, viz. :—

General
powers of
trustees.

- (a) To sell the trust estate or any part thereof, heritable as well as moveable.
- (b) To grant feus of the heritable estate or any part thereof.
- (c) To grant leases of any duration (including mineral leases) of the heritable estate or any part thereof and to remove tenants.
- (d) To borrow money on the security of the trust estate or any part thereof, heritable as well as moveable.
- (e) To excamb any part of the trust estate which is heritable.
- (f) To appoint factors and law agents and to pay them suitable remuneration.
- (g) To discharge trustees who have resigned and the representatives of trustees who have died.
- (h) To uplift, discharge, or assign debts due to the trust estate.
- (i) To compromise or to submit and refer all claims connected with the trust estate.
- (j) To refrain from doing diligence for the recovery of any debt due to the truster which the trustees may reasonably deem irrecoverable.

- (k) To grant all deeds necessary for carrying into effect the powers vested in the trustees.
- (l) To pay debts due by the truster or by the trust estate without requiring the creditors to constitute such debts where the trustees are satisfied that the debts are proper debts of the trust.
- (m) To make abatement or reduction, either temporary or permanent, of the rent, lordship, royalty, or other consideration stipulated in any lease of land, houses, tenements, minerals, metals, or other subjects, and to accept renunciations of leases of any such subjects.
- (n) To apply the whole or any part of trust funds which the trustees are empowered or directed by the trust deed to invest in the purchase of heritable property in the payment or redemption of any debt or burden affecting heritable property which may be destined to the same series of heirs and subject to the same conditions as are by the trust deed made applicable to heritable property directed to be purchased.

(2) This section shall apply to acts done before as well as after the passing of this Act, but shall not apply so as to affect any question relating to an act enumerated in head (a), (b), (c), (d), or (e) of this section which may, at the passing of this Act, be the subject of a depending action.

Powers
which may
be granted
to trustees
by the
court.

5. It shall be competent to the court, on the petition of the trustees under any trust, to grant authority to the trustees to do any of the acts mentioned in the section of this Act relating to general powers of trustees, notwithstanding that such act is at variance with the terms or purposes of the trust, on being satisfied that such act is in all the circumstances expedient for the execution of the trust.

In this section the expression "trust" shall not include any trust constituted by private or local Act of Parliament, and the expression "trustees" shall be construed accordingly.

Method of
sale by
trustees.

6. All powers of sale conferred on trustees by the trust deed or by virtue of this Act may be exercised either by public roup or private bargain unless otherwise directed in the trust deed or in the authority given by the court,

and when the estate is heritable it shall be lawful in the exercise of such powers to sell subject to or under reservation of a feu-duty or ground annual at such rate and on such conditions as may be agreed upon, and in such sales and feus it shall be lawful to reserve the mines and minerals.

7. Any deed bearing to be granted by the trustees under any trust, and in fact executed by a quorum of such trustees in favour of any person other than a beneficiary or a co-trustee under the trust where such person has dealt onerously and in good faith shall not be void or challengeable on the ground that any trustee or trustees under the trust was or were not consulted in the matter, or was or were not present at any meeting of trustees where the same was considered, or did not consent to or concur in the granting of the deed, or on the ground of any other omission or irregularity of procedure on the part of the trustees or any of them in relation to the granting of the deed.

Deeds granted by trustees.

Nothing in this section shall affect any question of liability or otherwise between any trustee under any trust on the one hand and any co-trustee or beneficiary under such trust on the other hand. This section shall apply to deeds granted before as well as after the passing of this Act, but shall not apply so as to affect any question which may, at the passing of this Act, be the subject of a depending action.

In this section the expression "quorum" means a quorum of the trustees under any trust entitled to act in terms of the trust deed or in virtue of this Act, or of any Act repealed by this Act, as the case may be.

8.—(1) Where in any deed, whether inter vivos or mortis causa, heritable or moveable property is conveyed to any person in liferent, and in fee to persons who, when such conveyance comes into operation, are unborn or incapable of ascertainment, the person to whom the property is conveyed in liferent shall not be deemed to be beneficially entitled to the property in fee by reason only that the liferent is not expressed in the deed to be a liferent allenarly; and all such conveyances as aforesaid shall, unless a contrary intention appears in the deed, take effect in the same manner and in all respects as if the liferent were declared to be a liferent allenarly; provided always that this subsection shall not apply to

Conveyances to non-existing or unidentifiable persons.

any conveyance which has come into operation before the passing of this Act.

For the purposes of this subsection, the date at which any conveyance in liferent and fee as aforesaid comes into operation shall be deemed to be the date at which the person to whom the liferent is conveyed first becomes entitled to receive the rents or income of the property.

(2) Where under any conveyance, whether coming into operation before or after the passing of this Act, any property is conveyed to one person in liferent and in fee to persons who, when such conveyance comes into operation, are unborn or incapable of ascertainment, it shall be competent to the court, on the application of the liferenter, whether or not he would, according to the existing law, be deemed to be fiduciary fiar, or of any person to whom the fee or any part thereof bears to be presumptively destined, or who may have an interest under such conveyance notwithstanding that such interest is prospective or contingent, or of the Accountant of Court :—

- (a) To grant authority to the fiduciary fiar to exercise all or such of the powers, or to do all or such of the acts, competent to a trustee at Common Law or under this Act, as to the court may seem fit :
- (b) To appoint a trustee or trustees (of whom the liferenter or fiduciary fiar may be one) with all the powers of trustees at Common Law and under this Act, or a judicial factor, to hold the said property in trust in place of the liferenter or fiduciary fiar ; and to authorise and ordain the fiduciary fiar to execute and deliver all such deeds as may be necessary for the completion of title to the said property by such trustee or trustees or judicial factor ; or otherwise, to grant warrant to such trustee or trustees or judicial factor to complete a title to the said property in the same manner and to the same effect as under a warrant in favour of a trustee or trustees granted in terms of the section of this Act relating to the appointment of new trustees by the court, or a warrant in favour of a judicial factor granted in terms of section

twenty-four of the Titles to Land Consolidation (Scotland) Act, 1868, or section forty-four of the Conveyancing (Scotland) Act, 1874, as the case may be. The expense of completing the title as aforesaid shall, unless the court otherwise directs, be a charge against the capital of the estate.

31 & 32 Vict.
c. 101.
37 & 38 Vict.
c. 94.

(3) For the purposes of this section, all references to a trust deed in this Act contained shall be read and construed as a reference to the conveyance of the property in liferent and fee as aforesaid.

9. It shall be competent to constitute or reserve by means of a trust or otherwise a liferent interest in moveable and personal estate in Scotland in favour only of a person in life at the date of the deed constituting or reserving such liferent, and, where any moveable or personal estate in Scotland shall, by virtue of any deed dated after the thirty-first day of July, eighteen hundred and sixty-eight, (the date of any testamentary or mortis causa deed being taken to be the date of the death of the granter, and the date of any contract of marriage being taken to be the date of the dissolution of the marriage) be held in liferent by or for behoof of a person of full age born after the date of such deed, such moveable or personal estate shall belong absolutely to such person, and, where such estate stands invested in the name of any trustees, such trustees shall be bound to deliver, make over, or convey such estate to such person: Provided always that, where more persons than one are interested in the moveable or personal estate held by trustees as herein-before mentioned, all the expenses connected with the transference of a portion of such estate to any of the beneficiaries in terms of this section shall be borne by the beneficiary in whose favour the transference is made.

Liferents of personal estate beyond certain limits prohibited.

10. Trustees under any trust may, unless specially prohibited by the constitution or terms of the trust, invest the trust funds:—

Powers of investment.

(a) In the purchase of—

- (1) Any of the Government stocks, public funds, or securities of the United Kingdom;
- (2) Stock of the Bank of England;
- (3) Any securities the interest of which is or shall be guaranteed by Parliament;

(4) Debenture stock of railway companies in Great Britain incorporated by Act of Parliament;

(5) Preference, guaranteed, lien, annuity, or rentcharge stock, the dividend on which is not contingent on the profits of the year of such railway companies in Great Britain as have paid a dividend on their ordinary stock for ten years immediately preceding the date of investment;

(6) Stock or annuities issued by any municipal corporation in Great Britain, which annuities or the interest or dividend upon which stock are secured upon rates or taxes levied by such municipal corporation under authority of any Act of Parliament;

56 & 57 Vict.
c. 8.

(7) Redeemable stock issued under the Local Authorities Loans (Scotland) Acts, 1891 and 1893, by any local authority in Scotland;

(8) Consolidated stock created by the Metropolitan Board of Works or by the London County Council and Metropolitan Water Stock created by the Metropolitan Water Board;

(9) East India stock;

(10) Feu-duties or ground annuals:

(b) In loans—

(11) On the security of any of the stocks, funds, or other property aforesaid;

(12) On real or heritable security in Great Britain;

(13) On debentures or mortgages of railway companies in Great Britain incorporated by Act of Parliament;

(14) On bonds, debentures, or mortgages secured on rates or taxes levied under the authority of any Act of Parliament by municipal corporations in Great Britain authorised to borrow money on such security;

(15) On bonds, debentures, or mortgages secured on any rate or tax levied under the

authority of any Act of Parliament by any local authority in Scotland authorised to borrow money on such security, including local bonds issued under the Housing (Additional Powers) Act, 1919; 9 & 10 Geo. 5.
c. 99.

(16) On Indian railway stock, debentures, bonds, or mortgages on which the interest is permanently guaranteed by the Indian Government and payable in sterling money in Great Britain:

(c) In the purchase of or in loans on—

(17) Any stocks, funds, debentures, bonds, mortgages, or other securities for the time being approved for the investment of trust funds by the court as hereinafter in this Act provided:

Provided that the trustees shall not be held to be subject as defendants or respondents to the jurisdiction of any of His Majesty's courts of law or equity in England or Ireland, either as trustees or personally in any suit for administration of the trust by reason of their having invested or lent trust funds as aforesaid: Provided also that nothing in this section contained shall be construed as authorising or permitting a local authority to invest in any securities of such local authority any money required by the Local Authorities Loans (Scotland) Acts, 1891 and 1893, or by statutory sinking fund regulations in force for the time being to be invested.

11. Trustees under any trust may, unless specially prohibited by the constitution or terms of the trust, invest the trust funds in the purchase of any colonial stock which is registered in the United Kingdom in accordance with the provisions of the Colonial Stock Acts, 1877 to 1900, and is included in the list of colonial stocks kept by the Treasury as provided in the Colonial Stock Act, 1900: Provided that a trustee may not, under the powers of this section, purchase at a price exceeding its redemption value any colonial stock which is liable to be redeemed within fifteen years of the date of purchase at par or at some other fixed rate, or purchase any colonial stock which is liable to be redeemed at par or at some other fixed rate at a price exceeding fifteen per cent. above par or such other fixed rate. Investment
in colonial
stock.

63 & 64 Vict.
c. 62.

Investment
on charges
under Im-
provement
of Land
Acts, &c.
27 & 28 Vict.
c. 114.
62 & 63 Vict.
c. 46.
57 & 58 Vict.
c. 30.
10 Edw. 7.
& 1 Geo. 5.
c. 8.

12.—(1) A trustee having power to invest in real securities, unless expressly forbidden by the trust deed, may invest, and shall be deemed to have always had power to invest, on any charge or on any mortgage on such charge made under the Improvement of Land Acts, 1864 and 1899, or on any charge created for payment of estate or other Government duty under the Finance Act, 1894, or the Finance (1909–10) Act, 1910.

(2) A trustee having power to invest in the mortgages or bonds of any railway company or of any other description of company may, unless the contrary is expressed in the trust deed, invest in the debenture stock of a railway company or such other company as aforesaid.

43 & 44 Vict.
c. 8.

(3) A trustee having power to invest money in securities in the Isle of Man or in securities of the Government of a colony may, unless the contrary is expressed in the trust deed, invest in any securities of the Government of the Isle of Man under the Isle of Man Loans Act, 1880.

28 & 29 Vict.
c. 78.

(4) A trustee having a general power to invest trust money in or upon the security of shares, stock, mortgages, bonds, or debentures of companies incorporated by or acting under the authority of an Act of Parliament or Royal Charter may invest in or upon the security of mortgage debentures duly issued under and in accordance with the provisions of the Mortgage Debenture Act, 1865.

Power to
invest not-
withstanding
drainage
charges.

27 & 28 Vict.
c. 114.

13. A trustee having power to invest in the purchase of land or on heritable security may invest in the purchase of or on heritable security over any land notwithstanding that the same is charged with a rent under the powers of the Public Money Drainage Acts, 1846 to 1856, or by an absolute order made under the Improvement of Land Act, 1864, unless the terms of the trust expressly provide that the land to be purchased or taken in security shall not be subject to any such prior charge.

Powers of
investment
in trust deeds
not to be
restricted.

14.—(1) The powers of investment conferred upon trustees by the four immediately preceding sections of this Act shall not be held or construed as restricting or controlling any powers of investment of trust funds expressly contained in any trust deed.

(2) In the aforesaid sections and in this section the expression “trustee” includes any person holding funds

in a fiduciary capacity, and the expressions “trust” and “trust deed” shall be construed accordingly.

15.—(1) A trustee, unless authorised by the terms of his trust, shall not apply for purchase, acquire, or hold beyond a reasonable time for realisation or conversion into registered or inscribed stock any certificate to bearer or debenture or other bond or document payable to bearer.

Trustees not to hold certificates or bonds payable to bearer.

(2) Nothing in this section shall impose on the Bank of England or the Bank of Ireland or on any person authorised by or under any Act of Parliament to issue any such certificate, bond, or document any obligation to inquire whether a person applying for such a certificate, bond, or document is or is not a trustee, or subject them to any liability in the event of their granting any such certificate, bond, or document to a trustee, nor invalidate any such certificate, bond, or document if granted.

16. The court may, from time to time under such conditions as they see fit, authorise trustees to advance any part of the capital of a fund destined either absolutely or contingently to beneficiaries who at the date of the application to the court are not of full age, if it shall appear that the income of the fund is insufficient or not applicable to, and that such advance is necessary for, the maintenance or education of such beneficiaries or any of them, and that it is not expressly prohibited by the trust deed, and that the rights of such beneficiaries, if contingent, are contingent only on their survivance.

The court may authorise the advance of part of the capital of a trust fund.

17. It shall be competent for the trustees under any trust deed or one or more of them to apply to the court for an order on the accountant of court to superintend their administration of the trust in so far as it relates to the investment of the trust funds and the distribution thereof among the creditors interested and the beneficiaries under the trust, and the court may grant such order accordingly, and if such order be granted the accountant of court shall annually examine and audit the accounts of such trustees, and at any time, if he thinks fit, he may report to the court upon any question that may arise in the administration of the trust with regard to any of the foresaid matters and obtain the directions of the court thereupon.

Trustees may apply to court for superintendence order as to investment and distribution of estate.

Discharge of trustees resigning and heirs of trustees dying during the subsistence of the trust.

18. When a trustee who resigns or the representatives of a trustee who has died or resigned cannot obtain a discharge of his acts and intromissions from the remaining trustees, and when the beneficiaries of the trust refuse or are unable from absence, incapacity or otherwise to grant a discharge, the court may, on petition to that effect at the instance of such trustee or representative and after such intimation and inquiry as may be thought necessary, grant such discharge.

Form of resignation of trustees.

19.—(1) Subject to the provisions of subsection (2) of this section, any trustee entitled to resign his office may do so by minute of the trust entered in the sederunt book of the trust and signed in such sederunt book by such trustee and by the other trustee or trustees acting at the time, or he may do so by signing a minute of resignation in the form of Schedule A. to this Act annexed or to the like effect, and may register the same in the books of council and session, and in such case he shall be bound to intimate the same to his co-trustee or trustees, and the resignation shall be held to take effect from and after the date of the receipt of such intimation, or the last date thereof if more than one, and in case after inquiry the residence of any trustee to whom intimation should be given under this provision cannot be found, such intimation shall be sent by post in a registered letter addressed to the Keeper of the Register of Edictal Citations.

(2) A sole trustee desiring to resign his office may apply to the court stating such desire and praying for the appointment of new trustees or of a judicial factor to administer the trust, and the court, after intimation to the beneficiaries under the trust, or such of them as the court may direct, may thereafter appoint either a judicial factor or new trustees, and if the court appoint new trustees the court may grant warrant to complete title as provided in the section of this Act relating to appointment of new trustees by the court.

Effect of resignation.

20. Where a trustee entitled to resign his office shall have resigned in either of the modes provided by the immediately preceding section or otherwise, and his resignation shall have been duly completed, such trustee shall be thereby divested of the whole property and estate of the trust, which shall accrue to or devolve upon the continuing trustees or trustee without the

necessity of any conveyance or other transfer by the resigning trustee, but without prejudice to the right of the continuing trustee or trustees to require the resigning trustee to execute and deliver to the continuing trustees or trustee at the expense of the trust a conveyance or transfer (or conveyances or transfers) of the property or estate belonging to the trust, or any part thereof if the continuing trustees or trustee shall consider this expedient, and the resigning trustee when so required shall be bound at the expense of the trust to execute and deliver such conveyance or conveyances, transfer or transfers accordingly.

21. When trustees have the power of assuming new trustees, such new trustees may be assumed by deed of assumption executed by the trustee or trustees acting under the trust deed or by a quorum of such trustees, if more than two, in the form of Schedule B. to this Act annexed or to the like effect, and a deed of assumption so executed, in addition to a general conveyance of the trust estate, may contain a special conveyance of heritable property belonging to the trust estate, and in such case shall be effectual as a conveyance of such heritable property in favour of the existing trustees and the trustees so to be assumed, and such deed of assumption shall also be effectual as an assignation in favour of such existing and assumed trustees of the whole personal property belonging to the trust estate, and in the event of any trustee acting under any trust deed being insane or incapable of acting by reason of physical or mental disability or by continuous absence from the United Kingdom for a period of six months or upwards, such deed of assumption may be executed by the remaining trustee or trustees acting under such trust deed: Provided that, when the signatures of a quorum of trustees cannot be obtained, it shall be necessary to obtain the consent of the court to such deed of assumption on application either by the acting trustee or trustees or by any one or more of the beneficiaries under the trust deed.

Appoint-
ment of new
or additional
trustees by
deed of
assumption.

22. When trustees cannot be assumed under any trust deed, or when any person who is the sole trustee appointed in or acting under any trust deed is or has become insane or is or has become incapable of acting by reason of physical or mental disability, or by being absent continuously from the United Kingdom for a

Appoint-
ment of new
trustees by
the court.

period of at least six months, or by having disappeared for a like period, the court may, upon the application of any party having interest in the trust estate, after such intimation and inquiry as may be thought necessary, appoint a trustee or trustees under such trust deed with all the powers incident to that office, and, on such appointment being made in the case of any person becoming insane or incapable of acting as aforesaid, such person shall cease to be a trustee under such trust deed, and the court may, on such application, grant a warrant to complete a title to any heritable property forming part of the trust estate in favour of the trustee or trustees so appointed, which warrant shall specify and describe the heritable property to which it is applicable, or refer in terms of law to a recorded deed containing a description thereof, and shall also specify the moveable or personal property, or bear reference to an inventory appended to the petition to the court in which such moveable or personal property is specified, and such warrant shall be effectual as a conveyance of such heritable property in favour of the trustee or trustees so appointed in like manner and to the same effect as a warrant in favour of a judicial factor granted under the authority of section twenty-four of the Titles to Lands Consolidation (Scotland) Act, 1868, or section forty-four of the Conveyancing (Scotland) Act, 1874, and shall also be effectual as an assignation of such moveable or personal property in favour of the trustee or trustees so appointed.

Court may
remove
trustees in
certain cases.

23. In the event of any trustee being or becoming insane or incapable of acting by reason of physical or mental disability or being absent from the United Kingdom continuously for a period of at least six months, or having disappeared for a like period, such trustee, in the case of insanity or incapacity of acting by reason of physical or mental disability, shall, and in the case of continuous absence from the United Kingdom or disappearance for a period of six months or upwards, may, on application in manner in this section provided by any co-trustee or any beneficiary or other person interested in the trust estate, be removed from office upon such evidence as shall satisfy the court to which the application is made of the insanity, incapacity, or continuous absence or disappearance of such trustee. Such application in the case of a mortis causa trust may be made

either to the court of session or to the sheriff court from which the original confirmation of the trustees as executors issued, and in the case of a marriage contract may be made either to the court of session or to the sheriff court of the district in which the spouses are or the survivor of them is domiciled, and in all other cases shall be made to the court of session.

24. Any person who shall be entitled to the possession for his own absolute use of any heritable property or moveable or personal property the title to which has been taken in the name of any trustee who has died or become incapable of acting without having executed a conveyance of such property, or any other person deriving right whether immediately or otherwise from the person entitled as aforesaid, may apply by petition to the court for authority to complete a title to such property in his own name, and such petition shall specify and describe the heritable property or refer to a description thereof in terms of law, and refer to an inventory in which the moveable or personal property is specified to which such title is to be completed, and after such intimation and inquiry as may be thought necessary it shall be lawful for the court to grant a warrant for completing such title as aforesaid, which warrant shall specify and describe the heritable property to which it is applicable, or refer in terms of law to a description thereof, and shall also specify the moveable or personal property or shall bear reference to an inventory appended to the petition in which such moveable or personal property is specified, and such warrant shall be effectual as a conveyance of such heritable property in favour of the petitioner in like manner and to the same effect as a warrant in favour of a judicial factor granted under the authority of section twenty-four of the Titles to Land Consolidation (Scotland) Act, 1868, or section forty-four of the Conveyancing (Scotland) Act, 1874, and shall also be effectual as an assignation of such moveable or personal property in favour of the petitioner.

Completion
of title by
the benefi-
ciary of a
lapsed trust.

25. Application for authority to complete the title of a judicial factor to any trust property or estate may be contained in the petition for the appointment of such factor, and such application may include moveable or personal property.

Completion
of title of
judicial
factors.

Powers of
court under
this Act to
be exercised
by Lord
Ordinary.

20 & 21 Vict.
c. 56.

26. Applications to the court under the authority of this Act shall be by petition addressed to the court, and shall be brought in the first instance before one of the Lords Ordinary officiating in the Outer House, who may direct such intimation and service thereof and such investigation or inquiry as he may think fit, and the power of the Lord Ordinary before whom the petition is enrolled may be exercised by the Lord Ordinary on the Bills during vacation, and all such petitions shall, as respects procedure, disposal and review, be subject to the same rules and regulations as are enacted with respect to petitions coming before the Junior Lord Ordinary in virtue of the Court of Session Act, 1857: Provided that, when in the exercise of the powers pertaining to the court of appointing trustees and regulating trusts, it shall be necessary to settle a scheme for the administration of any charitable or other permanent endowment, the Lord Ordinary shall, after preparing such scheme, report to one of the divisions of the court, by whom the same shall be finally adjusted and settled, and in all cases where it shall be necessary to settle any such scheme, intimation shall be made to His Majesty's Advocate, who shall be entitled to appear and intervene for the interests of the charity or any object of the trust or the public interest.

Court may
pass Acts of
Sederunt.

27. The court shall be and is hereby empowered from time to time to make such regulations by Act or Acts of Sederunt as may be requisite for carrying into effect the purposes of this Act, including such regulations as may be requisite for enabling the court from time to time to approve as investments for trust funds, any stocks, funds, or securities in addition to those in which trustees are by this Act expressly authorised to invest trust funds, and subsequently to disapprove as such investments any stocks, funds or securities so approved under this Act or any Act by this Act repealed, and for keeping, revising, or publishing a list of any stocks, funds, or securities for the time being so approved.

Resignation of
trustee who is
also executor
to infer
resignation as
executor.

28. In all cases where a trust deed appoints the trustees to be also executors the resignation of any such trustee shall infer, unless where otherwise expressly declared, his resignation also as an executor under such trust deed.

29. Where a trustee shall have improperly advanced trust money on a heritable security which would, at the time of the investment, have been a proper investment in all respects for a less sum than was actually advanced thereon, the security shall be deemed an authorised investment for such less sum, and the trustee shall only be liable to make good the sum advanced in excess thereof with interest.

Extent of liability of trustee.

30.—(1) Any trustee lending money on the security of any property shall not be chargeable with breach of trust by reason only of the proportion borne by the amount of the loan to the value of such property at the time when the loan was made, provided that it shall appear to the court that in making such loan the trustee was acting upon a report as to the value of the property made by a person whom the trustee reasonably believed to be an able practical valuator instructed and employed independently of any owner of the property, whether such valuator carried on business in the locality where the property is situated or elsewhere, and that the amount of the loan by itself or in combination with any other loan or loans upon the property ranking prior to or *pari passu* with the loan in question does not exceed two equal third parts of the value of the property as stated in such report, and this section shall apply to a loan upon any property on which the trustees can lawfully lend.

Trustee not to be chargeable with breach of trust for lending money on security of any property on certain conditions.

(2) This section shall apply to transfers of existing securities as well as to new securities, and in its application to a partial transfer of an existing security the expression “the amount of the loan” shall include the amount of any other loan or loans upon the property ranking prior to or *pari passu* with the loan in question.

31. Where a trustee shall have committed a breach of trust at the instigation or request or with the consent in writing of a beneficiary, the court may, if it shall think fit, make such order as to the court shall seem just for applying all or any part of the interest of the beneficiary in the trust estate by way of indemnity to the trustee or person claiming through him.

Power of court to make orders in case of breach of trust.

32.—(1) If it appears to the court that a trustee is or may be personally liable for any breach of trust,

Court may relieve trustee from

personal
liability.

whether the transaction alleged to be a breach of trust occurred before or after the passing of this Act, but has acted honestly and reasonably, and ought fairly to be excused for the breach of trust, then the court may relieve the trustee either wholly or partly from personal liability for the same.

(2) In this section and in the two immediately preceding sections the expression "the court" shall mean any court of competent jurisdiction in which a question relative to the actings, liability, or removal of a trustee comes to be tried.

Investment
ceasing to
be an autho-
rised invest-
ment.

33. A trustee shall not be liable for breach of trust by reason only of his continuing to hold an investment which has ceased to be an investment authorised by the trust deed or by or under this Act.

Expenses of
applications
under this
Act.

34.—(1) The court shall determine all questions of expenses in relation to any application made under this Act, and may direct that any such expenses shall be paid out of the trust estate where the court considers this reasonable.

(2) In this section the expression "the court" shall include any court to which an application may be made under this Act.

Application
of Act.

35. Save as in this Act expressly otherwise provided—

(1) This Act shall apply to trusts which have come into operation before as well as to trusts coming into operation after the passing of this Act.

(2) Nothing in this Act contained shall be held to extend the liability of trustees.

Repeal.

36. The Acts mentioned in Schedule C to this Act are hereby repealed to the extent shown in the third column of that schedule.

SCHEDULES.

SCHEDULE A.

Section 19.

FORM OF MINUTE OF RESIGNATION.

I, A.B., do hereby resign the office of trustee under the trust disposition and settlement (*or other deed*) granted by C.D. dated the day of .* (*If the trustee was assumed add, and to which office of trustee I was assumed by deed of assumption granted by E.F. and G.H., dated day of *.)* (*To be attested.*)

* If recorded specify register and date of recording.

SCHEDULE B.

Section 21.

FORM OF DEED OF ASSUMPTION.

I, A.B. (*or we, A.B. and C.D.*), the accepting and surviving (*or remaining*) trustee (*or trustees, or a majority and quorum of the accepting and surviving trustees*), acting under a trust disposition and settlement (*or other deed*) granted by E.F., dated the day of (*if recorded, specify register and date of recording*), do hereby assume G.H. (*or G.H. and I.K.*) as a trustee (*or trustees*) under the said trust disposition and settlement (*or other deed*); and I (*or we*) dispoⁿe and convey to myself (*or ourselves*) and the said G.H. (*or G.H. and I.K.*) as trustees under the said trust disposition and settlement (*or other deed*), and the survivors or survivor, and the heir of the last survivor, the majority, while more than two are acting, being a quorum (*or otherwise in accordance with the terms of the trust deed*), all and sundry the whole trust estate and effects, heritable and moveable, real and personal, of every description and wherever situated, at present belonging to me (*or us*) or under my (*or our*) control as trustee (*or surviving trustees, or otherwise as the case may be*), under the said trust disposition and settlement (*or other deed*),

together with the whole vouchers, titles, and instructions thereof. (*Then may follow, if wished, special conveyances of heritable or personal property, with the usual clauses of a conveyance applicable to such property, and as the case may require.*) (*To be attested.*)

Section 36.

SCHEDULE C.

Year and Chapter.	Short Title.	Extent of Repeal.
9 & 10 Vict. c. 101.	The Public Money Drainage Act, 1846.	Section thirty-seven so far as it applies to Scotland.
24 & 25 Vict. c. 84.	The Trusts (Scotland) Act, 1861.	The whole Act.
26 & 27 Vict. c. 73.	The India Stock Certificate Act, 1863.	Section four so far as it applies to Scotland.
27 & 28 Vict. c. 114.	The Improvement of Land Act, 1864.	Section sixty so far as it relates to trustees and so far as it applies to Scotland.
28 & 29 Vict. c. 78.	The Mortgage Debenture Act, 1865.	Section sixty-one so far as it applies to Scotland.
30 & 31 Vict. c. 97.	The Trusts (Scotland) Act, 1867.	Section forty so far as it applies to Scotland.
31 & 32 Vict. c. 84.	The Entail Amendment (Scotland) Act, 1868.	The whole Act.
33 & 34 Vict. c. 71.	The National Debt Act, 1870.	Section seventeen.
34 & 35 Vict. c. 27.	The Debenture Stock Act, 1871.	Section twenty-nine so far as it applies to Scotland.
40 & 41 Vict. c. 59.	The Colonial Stock Act, 1877.	The whole Act.
43 & 44 Vict. c. 8.	The Isle of Man Loans Act, 1880.	Section twelve so far as it applies to Scotland.
47 & 48 Vict. c. 63.	The Trusts (Scotland) Amendment Act, 1884.	Section seven so far as it relates to trustees and so far as it applies to Scotland.
48 & 49 Vict. c. 25.	The East India Unclaimed Stock Act, 1885.	The whole Act.
50 & 51 Vict. c. 18.	The Trusts (Scotland) Act, 1867, Amendment Act, 1887.	Subsection (3) of section twenty-three so far as it applies to Scotland.
52 & 53 Vict. c. 39.	The Judicial Factors (Scotland) Act, 1889.	The whole Act.

Year and Chapter.	Short Title.	Extent of Repeal.
54 & 55 Vict. c. 34.	The Local Authorities Loans (Scotland) Act, 1891.	Subsection (3) of section forty-one. Section forty-four.
54 & 55 Vict. c. 44.	The Trusts (Scotland) Amendment Act, 1891.	The whole Act.
60 Vict. c. 8 -	The Trusts (Scotland) Act, 1897.	The whole Act.
61 & 62 Vict. c. 42.	The Trusts (Scotland) Act, 1898.	The whole Act.
63 & 64 Vict. c. 62.	The Colonial Stock Act, 1900.	Section two so far as it relates to trustees and so far as it applies to Scotland. Section three.
10 Edw. 7 & 1 Geo. 5.	The Trusts (Scotland) Act, 1910.	The whole Act.

CHAPTER 59.

An Act to provide for the payment of a lump sum in satisfaction of claims of Irish Railway Companies under an agreement with the Government, and otherwise for the distribution of such sum amongst the several companies and for the continuance of a clause in the said agreement. [19th August 1921.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) The Minister of Transport (hereinafter referred to as the Minister) shall, out of moneys to be provided by Parliament place on deposit with the Bank of Ireland the sum of three million pounds to the credit of a deposit account entitled “the Irish Railway Companies Compensation Account” and that sum shall be payable by the following instalments and on the dates hereinafter mentioned, that is to say, the first instalment of two hundred thousand pounds shall become due on the

Composition of claims under railway agreements.